



Gen Z, Counterfeits, and the Price of Luxury

A Cross-Cultural Study of Consumer Motivation in the U.S. and South Korea

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Introduction

Luxury Has a Pricing Problem

50M

Customers lost by the global luxury industry in two years, as prices outpaced what younger shoppers could justify spending

Business of Fashion, 2025

Research Question

Why are Gen Z consumers turning to counterfeit luxury goods, as a response to an exclusionary luxury system – and how do these behaviors function as tools of identity expression, social survival, and emotional escapism in the U.S. and South Korea?

- How does counterfeit consumption's meaning differ between a collectivist culture (South Korea) and an individualist one (U.S.)?
- Can buying counterfeit goods be understood as an ethical or practical reaction to an unjust luxury system?
- How can luxury brands innovate to meet Gen Z's demand for accessibility and cultural alignment?

Three Thinkers Behind the Argument

Thornstein Veblen

Economist & Sociologist



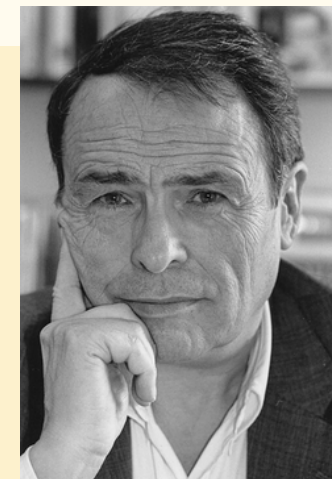
Conspicuous Consumption

People buy and display goods to signal wealth and status – not for practical use

The baseline logic dupes still borrow from

Pierre Bourdieu

Sociologist



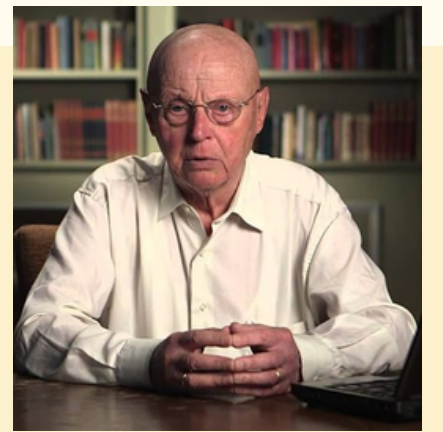
Distinction

Consumption choices mark taste and class – status signaling spreads across everyday choices, not just luxury

Explains why status now shows up in food, travel, wellness – not just handbags

Geert Hofstede

Cultural Dimensions
Researcher



Individualism vs. Collectivism

Cultures organize identity around the “I” or the “we” – shaping what counts as acceptable self-presentation.

The lens this study uses to compare the U.S. and South Korea



Mixed-Methods Design

01. Survey

70 completed Gen Z survey responses (ages 18 to 27) from the U.S., South Korea, and other countries, exploring motivations, pricing perceptions, social pressure, and ethics.

02. Digital Content Analysis

30+ coded TikTok videos and Reddit threads (r/FashionReps, r/Streetwear, r/Korea, r/KoreanFashion), coded for authenticity, shame/pride, and cultural expectations.

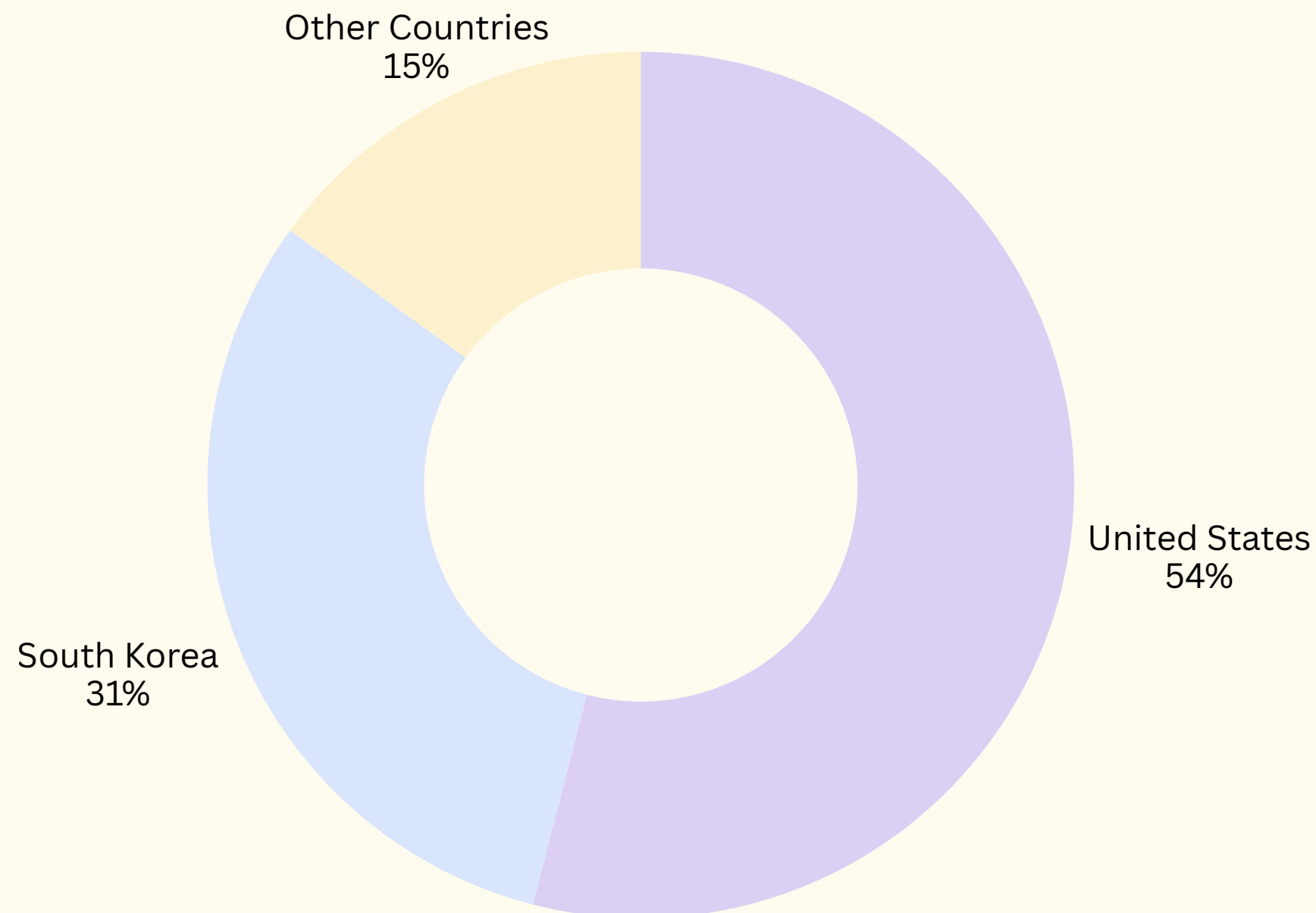
03. Comparative Cultural Lens

Hofstede's individualism-collectivism framework and the Korean concept of *chemyon* (social face) applied across both data sets.



Sample & Limitations

Survey Sample (N = 70)



Key Limitations:

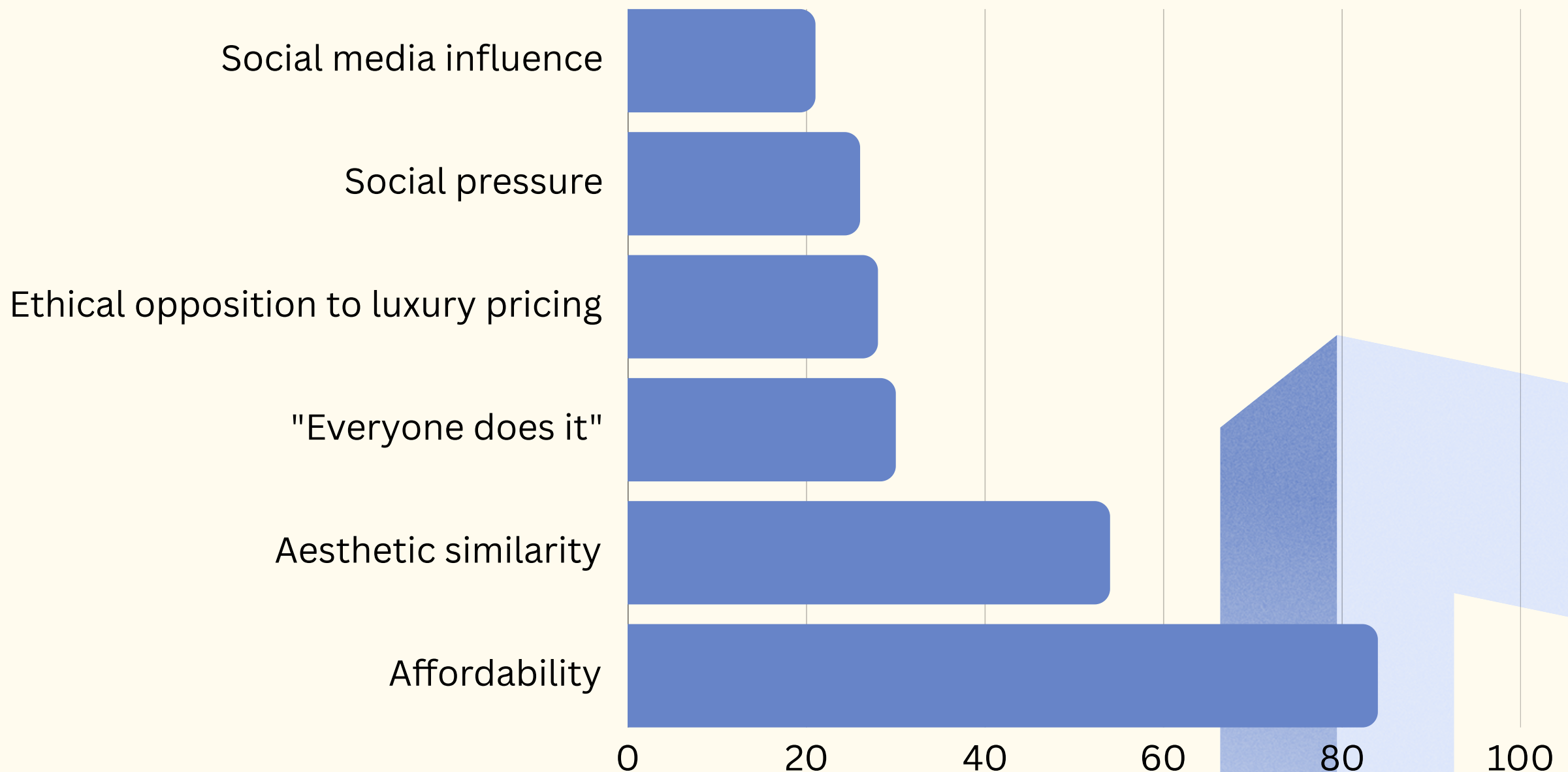
- Convenience / snowball sample created through personal networks; not statistically generalizable
- Self-reported data on an ethnically sensitive topic is subject to social desirability bias, even when anonymous
- single coder, not formal inter-rater reliability testing on thematic coding

What Gen Z Says They Do

77%

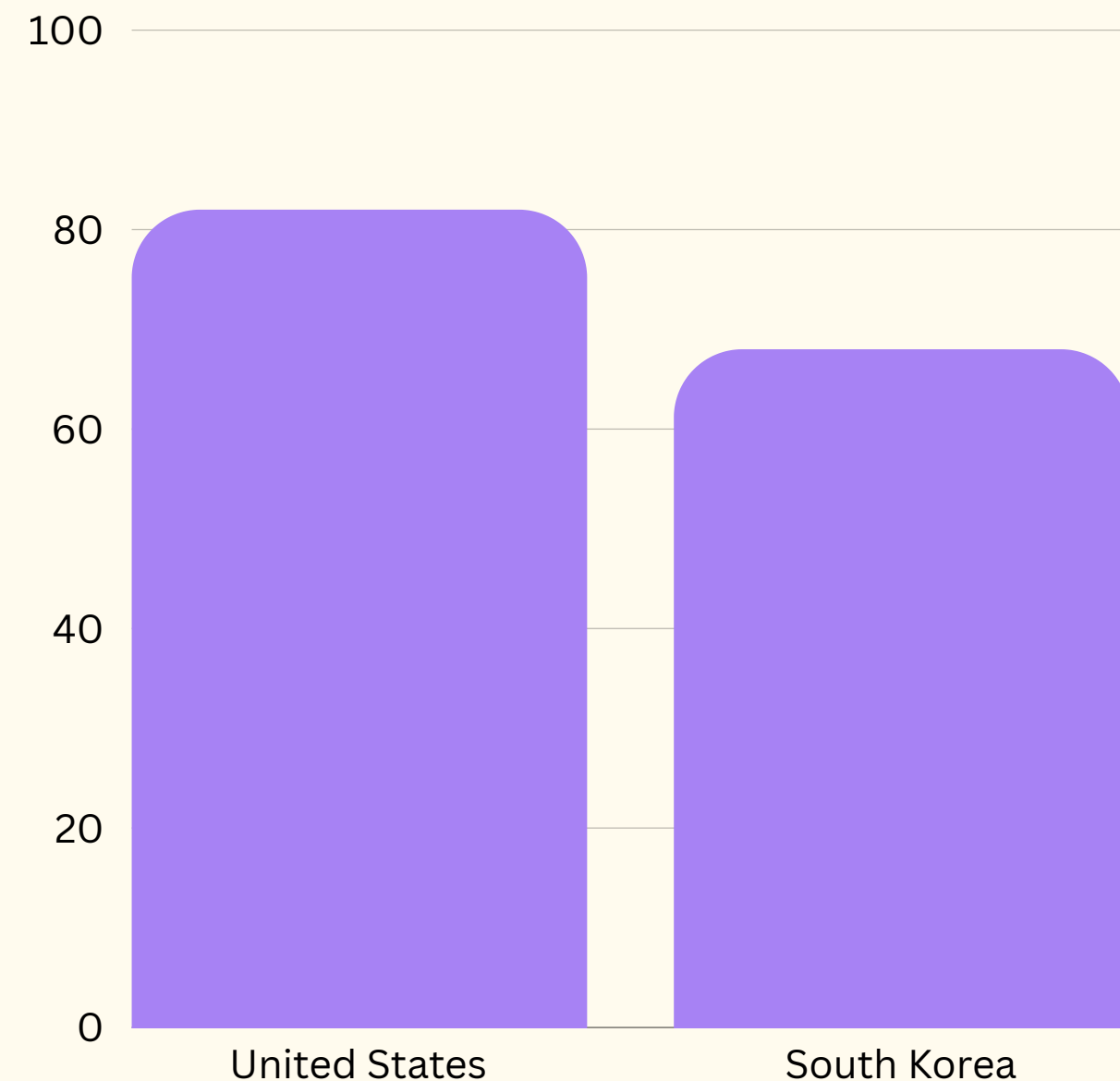
of respondents have
purchased a
counterfeit or dupe
product

Price ranked the #1
motivation (mean rank 1.97 of
5)



A Meaningful Cross-Country Gap

Self-Reported Counterfeit Purchase Rate



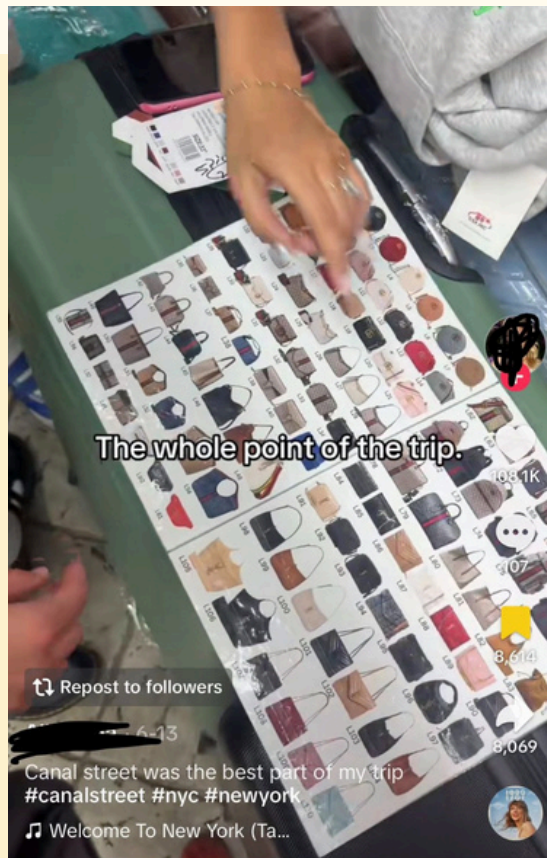
Lower reported use doesn't mean lower actual use

- Cultural and social factors may influence how individuals report ethically sensitive consumption behaviors in survey settings.
- Content analysis of Korean online discussions points to a mature authentication and resale infrastructure that extends beyond what survey responses alone can reveal.
- Differences between the two datasets underscore the value of using multiple research methods to understand counterfeit consumption.

Analysis & Discussion

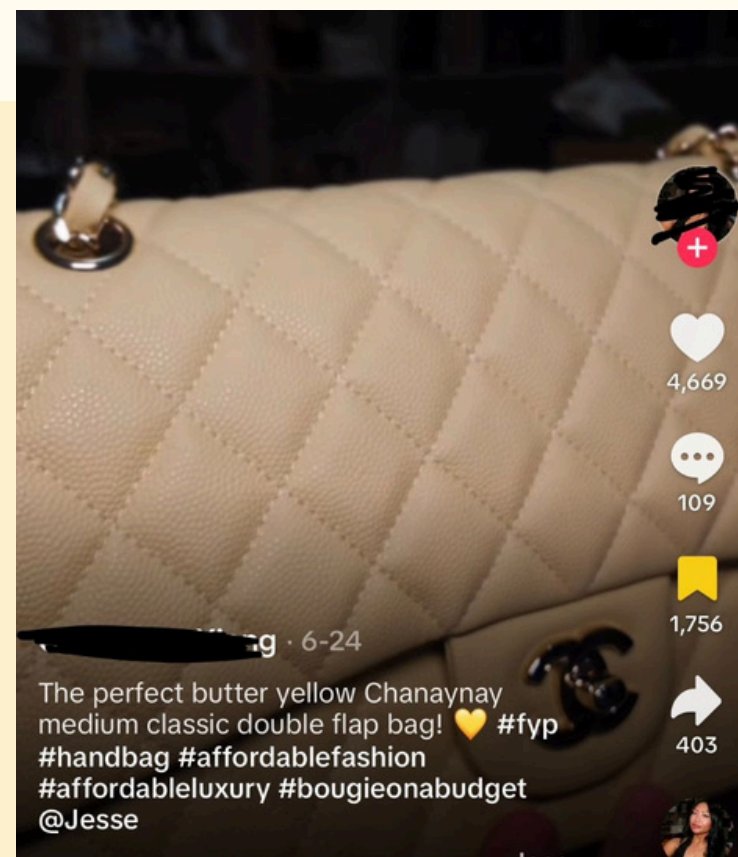
United States: Open Display

Counterfeit shopping shown as a shareable lifestyle choice; not something to hide.



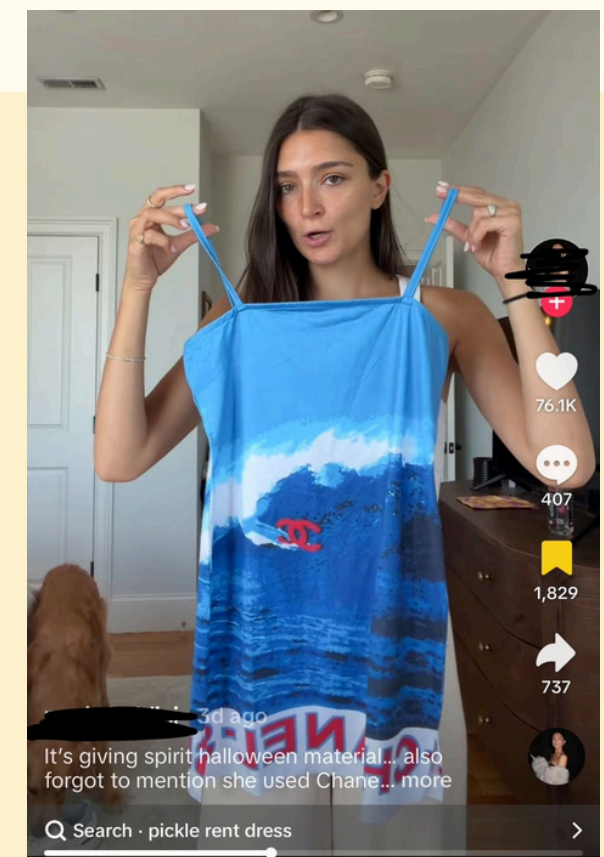
Hauls as highlights

Framed as “the whole point” of the trip



Budget-savvy branding

#affordablefashion,
#bougieonabudget reframe the purchase

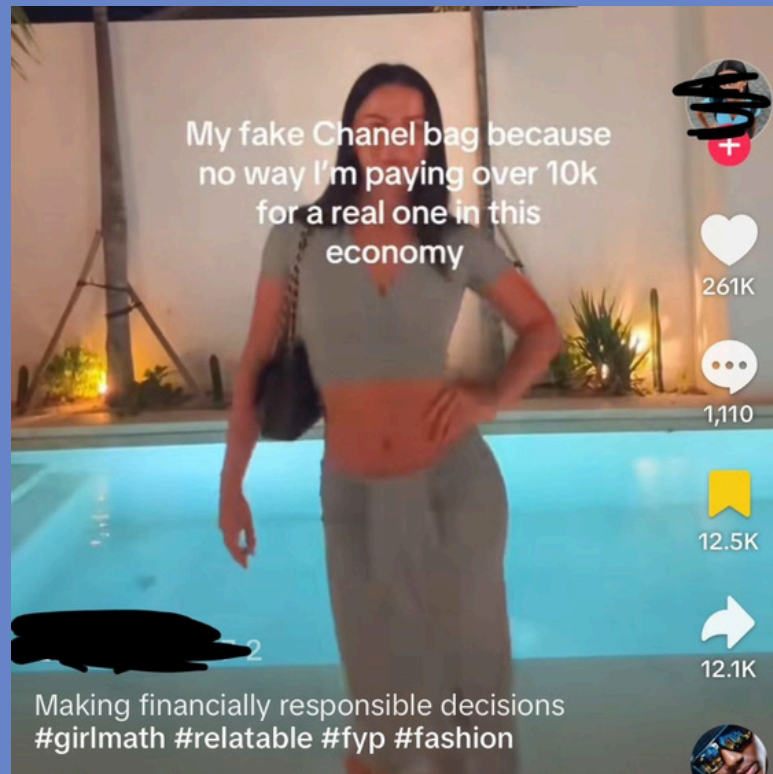


Community still polices honesty

Backlash targets non-disclosure – not the fake itself

“Financially Responsible,” Not Deceptive

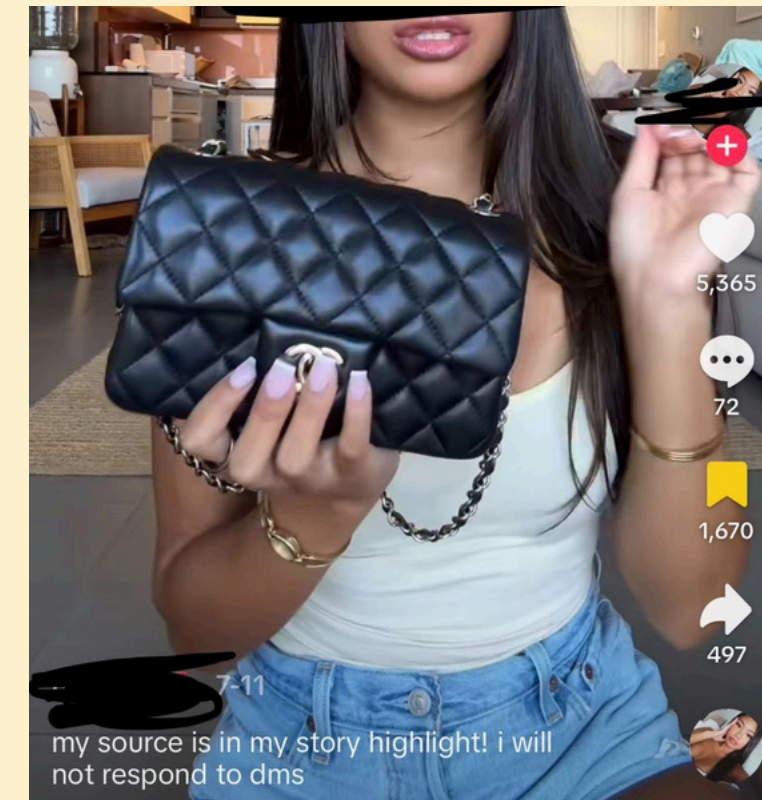
“GIRL MATH” FRAMING



Fake Chanel framed as “financially responsible” given 10K+ prices – #girlmath, #relatable.

Mirrors documented “neutralization” strategies that let consumers rationalize the purchase while keeping a positive self-image.

EXPERTISE AS STATUS



“She can’t tell the difference” is a point of pride not just a bargain.

Sourcing tips and seller comparisons let buyers present themselves as informed shoppers, not just budget-conscious ones.

South Korea: Verify, Don't Celebrate

PAID AUTHENTICATION



Buyers submit photos to a third-party service for a professional authenticity check before trusting a purchase.

DISCREET MARKETS

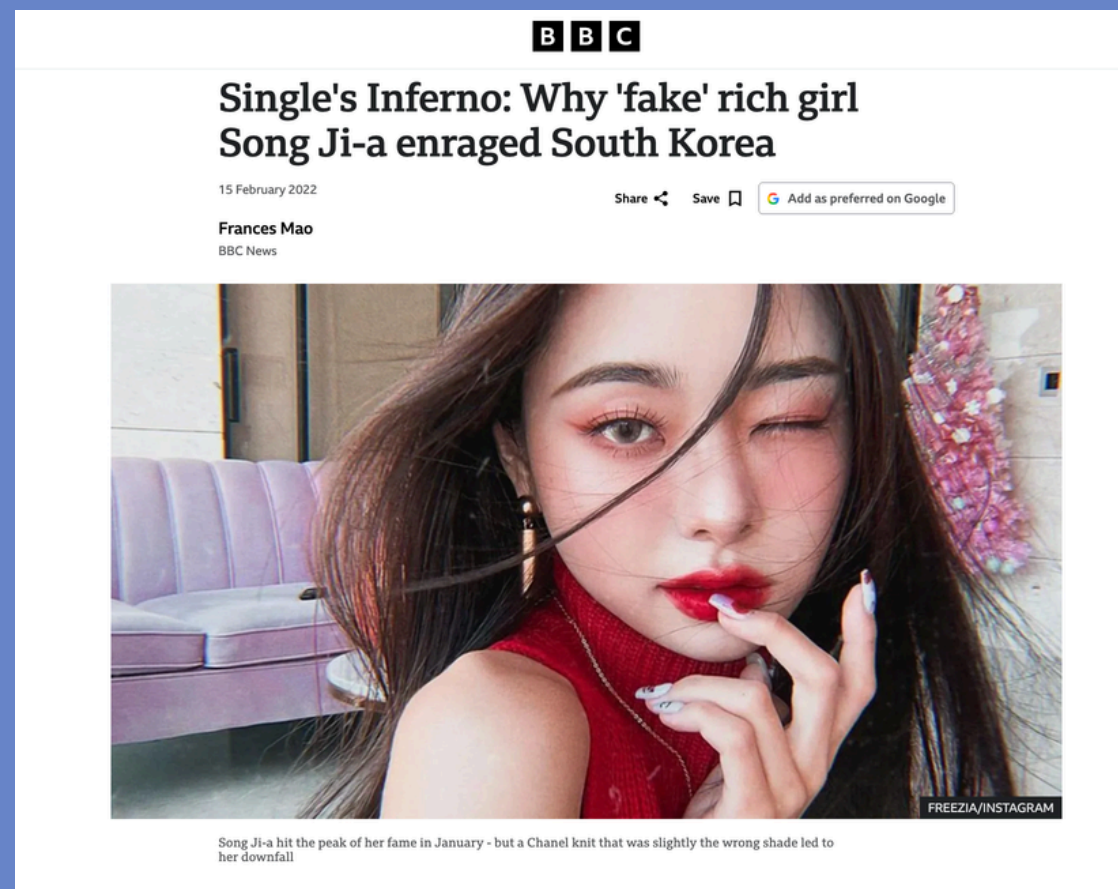


No photos, cash only, quality graded goods – managing risk and discretion rather than display.

Analysis & Discussion

It's the Exposure, Not the Fake

THE SONG JIA CASE



Only a small share of her 500+ shown items were later found as counterfeit, yet the fallout (apology, lost bookings) was severe.

“She pretended to be something that she is not”

REFRAMING *CHEMYON*

Social face may operate through managing reputation and exposure – not a blanket rejection of counterfeit ownership itself.

Korean commenters even debated whether counterfeits are more socially accepted than outsiders assume – complicating a simple “Korea = shame” reading

Redefining Value, Not Rejecting Luxury

- 01. Price leads, but it isn't only about money**
Price is the top-ranked motivation, yet roughly a quarter of respondents frame counterfeit buying as ethical resistance to luxury pricing itself.
- 02. The real divide is disclosure, not shame**
The U.S. sample openly celebrates and discusses counterfeit ownership; the Korean sample centers on authentication and managing exposure – both shaped by *chemyon*, read as reputation risk.
- 03. Brands need two different playbooks**
Accessible entry points and resale in the U.S.: stronger transparency and verification systems in South Korea – and a clear line between everyday dupe buyers and organized counterfeit producers.

Thank

You 😊

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